



BLACK SAND CAPITAL GROUP

Business Owner Tax Strategy Fact Finder

Advanced Tax Deferral, Tax-Advantaged Income & Protection Discovery

Designed for business owner discovery meetings and advisor strategy review

CLIENT NAME

BUSINESS NAME

DATE

ADVISOR

CPA / FIRM

ENTITY TYPE

Educational discovery only — not tax, legal, investment, or accounting advice



PURPOSE & DISCOVERY SNAPSHOT

This fact finder helps identify where a business owner's tax liability is coming from and whether advanced planning strategies may be appropriate. The goal is not to recommend a product during the first conversation — it is to determine whether the owner may benefit from further review with the appropriate planning professionals.

Client Information

CLIENT NAME

BUSINESS NAME

PRIMARY CONTACT

PHONE

EMAIL

DATE

ADVISOR

CPA / FIRM

ENTITY TYPE

FOLLOW-UP DATE

Our Approach

M

Measure

Identify the tax source, timing, income type, entity structure, and cash-flow reality.

A

Advise

Sort the owner into the right lane: deduction, deferral, conversion, protection, or liquidity.

P

Protect

Coordinate the plan with CPA, counsel, TPA, actuary, insurance, and investment professionals.



1 What Is Creating the Tax Liability?

Primary source of tax pressure

- | | | |
|--|---|--|
| ☐ Business profit / ordinary income | ☐ W-2 income | ☐ Capital gains |
| ☐ Real estate sale | ☐ Business sale | ☐ Investment income |
| ☐ Required distributions | ☐ Estate or inheritance planning issue | ☐ Other: _____ |

BRIEF DESCRIPTION

Estimated current-year tax concern

- | | | |
|--|---|---|
| ☐ Under \$50,000 | ☐ \$50,000 – \$100,000 | ☐ \$100,000 – \$250,000 |
| ☐ \$250,000 – \$500,000 | ☐ \$500,000+ | ☐ Unknown / needs CPA review |

2 Recurring or One-Time?

Nature of the tax issue

- ☐ Recurring annual tax issue ☐ One-time event ☐ Combination of both ☐ Not sure yet

If recurring, what is causing it?

- | | | |
|---|--|--|
| ☐ Consistent business profit | ☐ High owner compensation | ☐ Investment income |
| ☐ Real estate income | ☐ Other: _____ | |

If one-time, what event is causing it?

- | | | |
|--|---|---|
| ☐ Sale of business | ☐ Sale of real estate | ☐ Sale of stock or investment assets |
| ☐ Large bonus or distribution | ☐ Inheritance / estate event | ☐ Other: _____ |

Timing of the event

- | | | |
|---|---|---|
| ☐ Already happened this year | ☐ Expected this year | ☐ Expected next year |
| ☐ 2 – 5 years out | ☐ Not yet determined | |



3 What Is the Business Entity Type?

Business structure

- | | | |
|--|--|---|
| ☐ S-Corporation | ☐ C-Corporation | ☐ LLC taxed as partnership |
| ☐ LLC taxed as S-Corp | ☐ Sole proprietorship | ☐ Partnership |
| ☐ Professional practice | ☐ Not sure | |

NUMBER OF OWNERS

OWNERSHIP % OF PRIMARY OWNER

Is the spouse involved in the business?

- | | | |
|------------------------------|-----------------------------|--|
| ☐ Yes | ☐ No | ☐ Not currently, but could be |
|------------------------------|-----------------------------|--|

NOTES

4 What Is the Owner's W-2 Income?

Owner's estimated W-2 income

- | | | |
|--|--|--|
| ☐ Under \$100,000 | ☐ \$100,000 – \$250,000 | ☐ \$250,000 – \$500,000 |
| ☐ \$500,000 – \$1,000,000 | ☐ \$1,000,000+ | ☐ Not applicable |
| ☐ Unknown | | |

Does the owner also take distributions or K-1 income?

- | | | |
|------------------------------|-----------------------------|----------------------------------|
| ☐ Yes | ☐ No | ☐ Unknown |
|------------------------------|-----------------------------|----------------------------------|

Estimated annual business profit before owner planning

- | | | |
|--|--|--|
| ☐ Under \$250,000 | ☐ \$250,000 – \$500,000 | ☐ \$500,000 – \$1,000,000 |
| ☐ \$1,000,000 – \$2,500,000 | ☐ \$2,500,000+ | ☐ Unknown |

NOTES



5 How Many Employees Are There?

Employee count

- | | | | |
|--|--|--|---|
| ☐ Owner only | ☐ Owner + spouse | ☐ 1 – 5 employees | ☐ 6 – 10 employees |
| ☐ 11 – 25 employees | ☐ 26 – 50 employees | ☐ 50+ employees | |

Full-time W-2 employees besides owners / family?

- | | | |
|------------------------------|-----------------------------|-----------------------------------|
| ☐ Yes | ☐ No | ☐ Not sure |
|------------------------------|-----------------------------|-----------------------------------|

Any key or highly compensated employees?

- | | | |
|------------------------------|-----------------------------|-----------------------------------|
| ☐ Yes | ☐ No | ☐ Not sure |
|------------------------------|-----------------------------|-----------------------------------|

WHY THIS MATTERS

Employee count can affect retirement plan testing, contribution design, staff cost, and whether certain pension strategies are practical.

6 Existing Retirement Plan?

Current retirement plan

- | | | | |
|---|---|--|--|
| ☐ No current plan | ☐ SEP IRA | ☐ SIMPLE IRA | ☐ Solo 401(k) |
| ☐ Traditional 401(k) | ☐ Safe Harbor 401(k) | ☐ Profit Sharing Plan | ☐ Cash Balance Plan |
| ☐ Defined Benefit Plan | ☐ 412(e)(3) Plan | ☐ Not sure | |

Current annual owner contribution

- | | | |
|--|--|---|
| ☐ Under \$25,000 | ☐ \$25,000 – \$75,000 | ☐ \$75,000 – \$150,000 |
| ☐ \$150,000 – \$300,000 | ☐ \$300,000+ | ☐ Unknown |

Interested in contributing more if it creates a valid tax deduction?

- | | | | |
|------------------------------|-----------------------------|--------------------------------|---|
| ☐ Yes | ☐ No | ☐ Maybe | ☐ Depends on cash flow |
|------------------------------|-----------------------------|--------------------------------|---|



7 Business Sale or Real Estate Sale Coming?

Potential liquidity event

- | | | | |
|---|---|--|---|
| ☐ Business sale | ☐ Real estate sale | ☐ Partial business sale | ☐ Recapitalization |
| ☐ Partner buyout | ☐ Sale-leaseback | ☐ No known sale | ☐ Not sure |

Expected timing

- | | | |
|--------------------------------------|------------------------------------|--------------------------------------|
| ☐ This year | ☐ Next year | ☐ 2 – 3 years |
| ☐ 3 – 5 years | ☐ 5+ years | ☐ Unknown |

Estimated value of asset or transaction

- | | | |
|---|--|--|
| ☐ Under \$1,000,000 | ☐ \$1,000,000 – \$3,000,000 | ☐ \$3,000,000 – \$5,000,000 |
| ☐ \$5,000,000 – \$10,000,000 | ☐ \$10,000,000+ | ☐ Unknown |

Known capital gain exposure?

- | | | |
|------------------------------|-----------------------------|---|
| ☐ Yes | ☐ No | ☐ Unknown / needs CPA review |
|------------------------------|-----------------------------|---|

8 Does the Owner Need Insurance Protection?

Current protection concerns

- | | | |
|---|---|--|
| ☐ Family income protection | ☐ Business debt protection | ☐ Key person protection |
| ☐ Buy-sell funding | ☐ Estate liquidity | ☐ Long-term care exposure |
| ☐ Disability protection | ☐ Executive benefit planning | ☐ No known concern |
| ☐ Not sure | | |

Business debt or personal guarantees?

- | | | |
|------------------------------|-----------------------------|-----------------------------------|
| ☐ Yes | ☐ No | ☐ Not sure |
|------------------------------|-----------------------------|-----------------------------------|

Formal buy-sell agreement?

- | | | | |
|--------------------------------------|--|-----------------------------|-----------------------------------|
| ☐ Yes, funded | ☐ Yes, not funded | ☐ No | ☐ Not sure |
|--------------------------------------|--|-----------------------------|-----------------------------------|

Existing life insurance

- | | | | |
|--|-------------------------------------|---|--|
| ☐ Term life | ☐ Whole life | ☐ Indexed universal life | ☐ Variable universal life |
| ☐ Group coverage only | ☐ None | ☐ Unknown | |



9 Reduce Taxes Now or Build Tax-Advantaged Income?

Primary planning goal

- | | | |
|---|--|---|
| ☐ Reduce current-year taxable income | ☐ Defer income into future years | ☐ Build future tax-advantaged income |
| ☐ Protect family and business | ☐ Prepare for business sale or exit | ☐ Reduce estate tax exposure |
| ☐ Improve retirement income | ☐ All of the above | ☐ Not sure yet |

Which is more important right now?

- | | | |
|---|--|--|
| ☐ Current-year deduction | ☐ Long-term tax-advantaged accumulation | ☐ Liquidity |
| ☐ Protection | ☐ Exit planning | ☐ Estate planning |

CLIENT'S OWN WORDS

10 Is the CPA Already Involved?

CPA involvement

- | | | |
|--|--|---|
| ☐ Yes, actively involved | ☐ Yes, but mostly tax filing only | ☐ No current CPA |
| ☐ Client is looking for a new CPA | ☐ Unknown | |

CPA NAME / FIRM

CPA estimated the tax liability?

- | | | | |
|------------------------------|-----------------------------|--------------------------------------|----------------------------------|
| ☐ Yes | ☐ No | ☐ In progress | ☐ Unknown |
|------------------------------|-----------------------------|--------------------------------------|----------------------------------|

Open to coordinated planning?

- | | | |
|------------------------------|-----------------------------|--------------------------------|
| ☐ Yes | ☐ No | ☐ Maybe |
|------------------------------|-----------------------------|--------------------------------|

Other professionals involved

- | | | |
|--|---|--|
| ☐ Tax attorney | ☐ Estate attorney | ☐ TPA |
| ☐ Actuary | ☐ Investment advisor | ☐ Insurance advisor |
| ☐ Business attorney | ☐ M&A advisor | ☐ None currently |



ADVISOR NOTES & STRATEGY DIRECTION

Where this conversation points

Preliminary Planning Category

Based on the conversation, the client may benefit from review in the following areas:

- | | |
|--|--|
| ☐ Retirement / qualified plan strategy | ☐ Cash balance or defined benefit plan review |
| ☐ 412(e)(3) pension review | ☐ Life insurance protection review |
| ☐ Executive benefit / 162 plan review | ☐ Split-dollar review |
| ☐ Premium finance review | ☐ Tax-loss harvesting / investment tax management |
| ☐ Roth / backdoor / mega backdoor Roth review | ☐ Business exit planning |
| ☐ Real estate tax strategy | ☐ Charitable planning |
| ☐ Estate liquidity planning | ☐ CPA / tax attorney coordination |

Immediate Next Steps

- | | |
|--|---|
| ☐ Collect prior-year tax return | ☐ Collect current-year profit estimate |
| ☐ Review current retirement plan | ☐ Review employee census |
| ☐ Review entity structure | ☐ Review existing life insurance |
| ☐ Review business debt / guarantees | ☐ Review buy-sell agreement |
| ☐ Introduce CPA / tax attorney | ☐ Introduce TPA / actuary |
| ☐ Schedule strategy follow-up meeting | |

FOLLOW-UP MEETING DATE



ADVISOR USE ONLY

Strategy Sorting Map

1 DEDUCT

Reduce taxable income now.

EXAMPLES

401(k), profit sharing, cash balance, 412(e)(3), charitable planning

2 DEFER

Move taxes into a future year.

EXAMPLES

Traditional retirement plans, deferred compensation, annuity / pension structures, installment sales

3 CONVERT

Reposition dollars toward tax-advantaged future income.

EXAMPLES

Roth strategies, life insurance cash value, Roth conversions

4 PROTECT

Protect the owner, family, business, and estate.

EXAMPLES

Key person, buy-sell funding, estate liquidity, LTC, succession planning

Important Disclosure

This fact finder is for educational and discovery purposes only. It is not tax, legal, investment, or accounting advice and does not constitute a recommendation. Insurance and securities products and services are offered only through appropriately licensed professionals. Any strategy discussed should be reviewed with the client's CPA, tax attorney, retirement plan administrator, actuary, insurance professional, and/or licensed investment professional before implementation. Tax and financial strategies depend on the client's specific facts, income, business structure, employee census, cash flow, risk tolerance, and legal documentation.